

All lenders offer two basic types of mortgages. The most common type is a **fixed-rate** mortgage, which is usually paid back over thirty years. This is a mortgage whose interest rate stays the same over the life of the loan. One of the key benefits is the peace of mind that comes from knowing your monthly payments will remain steady forever.

The other general type of mortgage is the **adjustable-rate mortgage (ARM)**, sometimes known as a variable-rate mortgage. In theory, the interest rate on an ARM changes based on what happens to interest rates in the economy. If rates go down, your ARM interest rate should drop, and so would your monthly payment. If rates go up, your interest rate and monthly payments will rise. With most ARMs, the lender raises or lowers the interest rate only once a year, called the **adjustment period**.

ARMs have been tempting to first-time home buyers because their *initial* interest rate is lower than the rates on fixed-rate mortgages. This lower initial rate means lower monthly payments for the first couple of years of the ARM. And because ARMs have lower monthly payments at the beginning, they can be easier to qualify for than fixed-rate mortgages. But you are taking a gamble; the ARM ultimately could cost you much more than a fixed-rate loan. (See the box on chapter 7.)

ARMs have been disastrous for literally millions of homeowners, but they can make sense for certain borrowers. If, for example, you're absolutely sure that you'll move in a few years, an ARM could save you money in the short term. This is tricky and things could change, so be careful. Read all the provisions and know the worst-case scenario.

Interest Rates and Mortgage "Points"

As you've figured out by now, the most important factor contributing to the cost of a mortgage is the interest rate; that's what the bank charges you to borrow money, and it's expressed as a percentage of your loan. But this rate can be reduced if you choose (and have the cash) to pay **points**, up-front fees that you pay when you buy the home.

Here's how it works: One point equals 1% of the loan. So one point on a \$100,000 loan equals \$1,000. If you pay more points to the bank, you'll get a lower interest rate, which is why they're sometimes called "discount points." If you pay fewer points, you'll get a higher interest rate.